

26PSCV00780 26PSCV00780

County: los-angeles

Division: Civil Law and Motion

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Case Number: 26PSCV00780 Hearing Date: August 6, 2026 Dept: 6

Plaintiff

Lucy Lu's Request for Entry of Default Judgment

Defendants: Robinson Reese, LP, IMAG Holdings, Inc., FDH Custom

Homes, CEJ Construction, Inc., FS Builders LLC

TENTATIVE RULING

Plaintiff's request for entry of

default judgment is GRANTED in the amount of \$319,208.00 as to Defendants IMAG Holdings, Inc. and FDH Custom

Homes. Plaintiff's request for entry of default judgment is DENIED with

prejudice as to Defendants Robinson Reese, LP, CEJ Construction, Inc., and FS

Builders LLC. The Court hereby enters judgment in favor of Defendants Robinson

Reese, LP, CEJ Construction, Inc., and FS Builders LLC, and Plaintiff takes

nothing by way of the Complaint against Defendants Robinson Reese, LP, CEJ

Construction, Inc., and FS Builders LLC. The Court directs Plaintiff to submit

a revised proposed judgment consistent with this ruling for the Court's review

and signature.

BACKGROUND

This

is a breach of contract case arising from a settlement agreement concerning a

residential construction dispute. On March 5, 2026, plaintiff Lucy Lu

(Plaintiff) filed this action against defendants Robinson

Reese, LP, IMAG Holdings, Inc., FDH Custom Homes, CEJ Construction, Inc., FS

Builders LLC (collectively, Defendants), and Does 1 to 20, alleging causes of

action for breach of contract, violation of Business & Professions Code § 7108

(willful diversion of construction funds), and violation of Business & Professions Code § 7159.5(a)(3) (unlawful advance payment in home improvement contract).

On May 7, 2026,
default was entered against each of the Defendants.

On June 17, 2026,
Plaintiff requested entry of default judgment against Defendants.

LEGAL STANDARD

Code of
Civil Procedure section 585 permits entry of a default judgment after a party has failed to timely respond or appear. (Code Civ. Proc., § 585.) A party seeking judgment on the default by the court must file a Request for Court Judgment and: (1) a brief summary of the case; (2) declarations or other admissible evidence in support of the judgment requested; (3) interest computations as necessary; (4) a memorandum of costs and disbursements; (5) declaration of nonmilitary status; (6) a proposed form of judgment; (7) a dismissal of all parties against whom judgment is not sought or an application for separate judgment under Code of Civil Procedure section 579, supported by a showing of grounds for each judgment; (8) exhibits as necessary; and (9) a request for attorneys' fees if allowed by statute or by the agreement of the parties. (Cal. Rules of Court, rule 3.1800, subd. (a).)

ANALYSIS

Plaintiff
seeks default judgment against Defendants in the total amount of \$319,208.00, including \$258,188.00 in damages, \$60,125.00 in interest,[1] and \$895.00 in costs. The Court finds the Complaint deficient in certain respects.. First, Defendants Robinson Reese, LP, CEJ Construction, Inc., and FS Builders LLC are not parties to the settlement agreement underlying this action. (Lu Decl., Ex. 1.) Second, Plaintiff has not adequately shown alter ego liability against all the named Defendants. (See Compl., ¶¶ 8-20; Vasey v. California Dance Co. (1977) 70 Cal.App.3d 742, 749 [conclusory allegations of alter ego liability in complaint, coupled with evidence presented at default hearing, were insufficient to show lack of separateness between persons and corporation and to show that inequity would

result if alter ego liability were not imposed]; Grappo v. McMills (2017) 11 Cal.App.5th 996, 1015 ["It is well established a default judgment cannot properly be based on a complaint which fails to state a cause of action against the party defaulted because, as Witkin explains, '[a] defendant who fails to answer admits only facts that are well pleaded.'"].) The allegations in the Complaint and Plaintiff's evidence is otherwise insufficient to support the imposition of alter ego liability. (See *ibid.*; see generally, Lu Decl.)

The Court otherwise finds the default judgment request proper as to Defendants IMAG Holdings, Inc. and FDH Custom Homes.

CONCLUSION

Plaintiff's request for entry of default judgment is GRANTED in the amount of \$319,208.00 as to Defendants IMAG Holdings, Inc. and FDH Custom Homes. Plaintiff's request for entry of default judgment is DENIED with prejudice as to Defendants Robinson Reese, LP, CEJ Construction, Inc., and FS Builders LLC. The Court hereby enters judgment in favor of Defendants Robinson Reese, LP, CEJ Construction, Inc., and FS Builders LLC, and Plaintiff takes nothing by way of the Complaint against Defendants Robinson Reese, LP, CEJ Construction, Inc., and FS Builders LLC. The Court directs Plaintiff to submit a revised proposed judgment consistent with this ruling for the Court's review and signature.

[1] Based on the supplemental declaration Plaintiff submitted on July 30, 2026. (See Counts Decl. (7/30/26).)